

ing now is that there is red tape that needs to be taken out.

But Europe thinks about it as efficient and effective regulation. The term deregulation is avoided because they don't want to send the signal that everything goes, that there are no protections for workers

with optimal regulatory requirements, not with the regulatory capacity that it has today.

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What is your sense about the long-term consequences of the changes in tariffs by the United States?

Not only do countries

to have uniform rules, countries will respond by regional, sub-regional integration. Here in South Asia, there is tremendous potential to deepen trade integration within the subregion, which India can lead and benefit from. So, my projection is the following: we are in a multipolar world. This is a reality. And, therefore, it would be more complex to have trade relations that would be more bilateral, plurilateral agreements. But the world would continue to trade. Supply chains will continue to cross borders. Why? Because we are integrated. We cannot pull apart. There is no going back to a place where everybody relies only on their own capacity. And if you go back in history, this is what we have been doing for years. Trade is like water. You put an obstacle; it goes around it.

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With new multipolar arrangements and the evolving trade order, do you worry some countries would be left behind?

The global trade order, as it existed, lifted many countries out of poverty, created jobs, and created a global supply chain.

My biggest worry is that we are in a more shock-prone world. We have seen the pandemic, the war in Ukraine,

the inflation spike, and high interest rates, one after another. Climate shocks are hitting many countries dramatically. This will continue. And what has happened over the last couple of years is twofold.

One, many countries have exhausted their fiscal capacity to respond to shocks. They borrowed to help their businesses and their people, and now the level of debt is high and the level of growth is disappointing.

When the next shock comes, rich countries are not going to be there to pour tonnes of money for the rest of the world. It's just not possible. So, this is my first worry. We exhausted buffers; we must rebuild them.

My second worry is that when a shock hits, what you said is going to be a tragedy in the making. The smaller, poorer countries will be most dramatically impacted, and the world has weakened its collective capacity for solidarity.

I very much welcome emerging market economies like India and Brazil, that are saying we have to nurture solidarity because it is the right thing to do, but also because in an unstable world, there are risks for everyone.

It is a matter of economic security not to let countries fall behind. **BT**

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and for the well-being of citizens.

And yes, Europe must implement its single market to the fullest. So, if you go to Europe and register in Germany, what you do is applicable in all 27 countries. Europe needs a capital market union. Europe needs free movement of skills across the union and a unified energy system. All of this must be done

continue by and large to trade under the rules that have been established over decades, but there is an uptake of trade agreements, regional and cross-regional. India has its trade agreement with the UK, with the EU, a tariff agreement with the US, and is working on other trade agreements.

That uptick shows that if globally we are in a more difficult place